

U.S. Machinery

Cummins Inc

Rating

Market-Perform

Price Target



700.00 USD



Chad Dillard
+1 917 344 8469
chad.dillard@bernsteinsg.com



Miguel Marques, CFA
+1 917 344 8432
miguel.marques@bernsteinsg.com

Specialist Sales



Steve Song
+1 917 344 8401
steve.song@bernsteinsg.com

Cummins: Minor margin hiccups, but demand trends favorable

CMI reported 2Q results, posting a beat on revenues but a profit/margin miss on higher incentive comp and other one-time issues. This led to a 3% EBITDA miss, while also pushing mgmt. to cut segment EBITDA margin guides in all segments (ex-Accelera). That said, demand trends remain strong (driven by N. American MD and HD truck) and on track to improve in 2H, driving segment revenue growth guide raises at Engine and Components.

The margin cut wasn't operationally driven. While worrisome at first glance, CMI is incurring an incremental \$200M cost headwind from higher incentive comp, a 50bps drag to total company EBITDA margins (which were raised by 13bps at the midpoint Q/Q), and a \$75M drag in 2Q. Ex-this, 2Q EBITDA would have beat by ~2% and FY margins would sit 90bps above street. That said, the impact is set to moderate Q/Q to \$50M in 3Q/4Q, easing the sequential headwind. This had the largest hand in driving segment margin guides lower, most pronounced in Distribution. After these updates, we observe that **a)** street's 2H EBITDA margins for Engine are 100+bps too low, and **b)** while implied 2H Distribution and Power margins are lower vs. street, the guide implies meaningful drop-offs in 2H incrementals, suggesting potential room for improvement.

Proof of the truck cycle inflection happens in 2H. Management raised its FY end market outlook for both HD and MD truck in N America (HD from +10% to +12.5%; MD from +20% to +25%). This drove boosts to FY Engine and Component revenue growth expectations by 200bps and 300bps, respectively. Despite the raise, guidance implies 2H revenue for Engine and Components either below or in-line with street though **a)** an accelerating market in 2H, and **b)** CMI's higher-than-industry production (HD market -4% Y/Y vs. CMI +2%; MD +8% vs. CMI +19%). This spells potential upward revisions to guidance going forward. Going forward, clarity on EPA '27 defuses the pre-buy air-pocket risk to '27 estimates, means higher R&D expense for longer, and lower initial warranty accruals in 1H27, but higher thereafter.

Data center momentum continues. Power Gen sales grew ~30% in 2Q, benefitting from improved throughput on last years' capacity wave, all while lead times extended to 2H28. In 2H, mgmt is deploying capital to add the remaining 20 GW of its capacity target, set to come online by 2H27, offering visibility to durable growth in coming quarters.

Investment Implications

Maintain **Market-Perform** and TP **\$700**.

Adjusted EPS	F25A	F26E	F27E
CMI (USD)	20.51	30.41	32.39
OLD	--	27.35	32.25

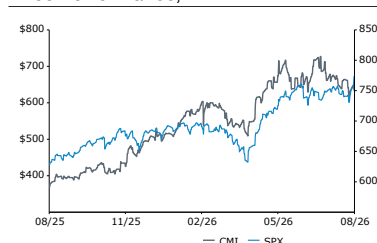
Financials	F25A	F26E	F27E	CAGR
Revenues (M)	33,661	37,601	40,603	9.8%
EBITDA (M)	5,397	6,856	7,681	19.3%

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	4 Aug 2026			
CMI Close Price (USD)	635.96			
Price Target (USD)	700.00			
Upside/(Downside)	10%			
52-Week Range	737.76/356.92			
SPX	7,736.52			
FYE	Dec			
Div Yield	1.4%			
Market Cap (USD) (M)	87,549			
EV (USD) (M)	93,628			
Performance	YTD	1M	6M	12M
Absolute (%)	24.6	(3.9)	5.0	75.9
SPX (%)	13.0	3.4	12.4	22.2
Relative (%)	11.6	(7.3)	(7.4)	53.7

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

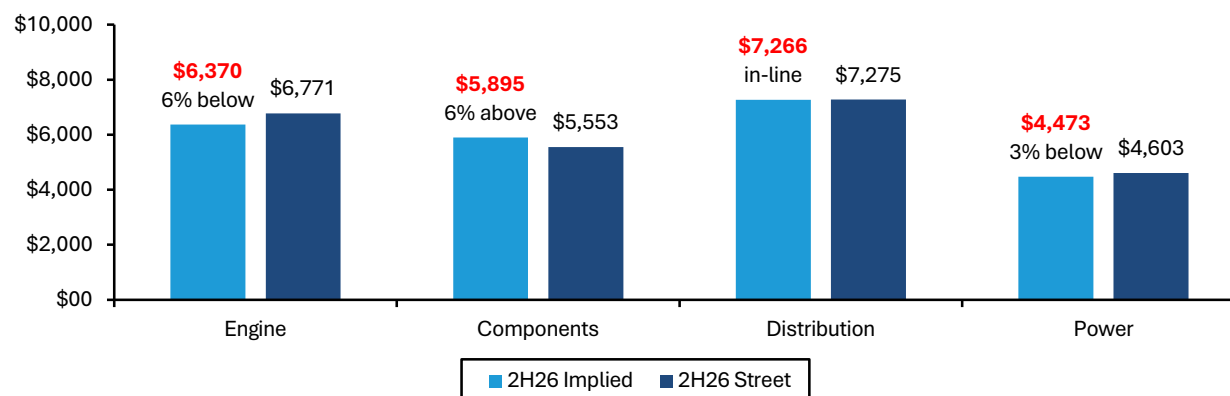
EXHIBIT 1: **Our Updated CMI Estimates Following 2Q Earnings**

	A 1Q26	A 2Q26	E 3Q26	E 4Q26	E 2026	Guide	vs. Guide	E 2027
Revenues								
Old Bern	\$8,398	\$9,635	\$9,317	\$9,785	\$37,136	\$36,859		\$40,047
New Bern	\$8,398	\$9,457	\$9,657	\$10,089	\$37,601	\$37,532	0%	\$40,603
Delta (%)	0%	-2%	4%	3%	1%			1%
Consensus	\$8,398	\$9,321	\$9,640	\$9,858	\$37,247		-1%	\$39,853
New vs Street(%)	0%	1%	0%	2%	1%			2%
EBITDA								
Old Bern	\$1,290	\$1,638	\$1,671	\$1,690	\$6,288	\$6,682		\$7,566
New Bern	\$1,290	\$1,653	\$1,981	\$1,929	\$6,853	\$6,850	0%	\$7,681
Delta (%)	0%	1%	19%	14%	9%			2%
Consensus	\$1,290	\$1,702	\$1,819	\$1,857	\$6,668		3%	\$7,805
New vs Street(%)	0%	-3%	9%	4%	3%			-2%
EPS								
Old Bern	\$6.15	\$6.92	\$7.10	\$7.19	\$27.35			\$32.25
New Bern	\$6.15	\$6.73	\$8.94	\$8.60	\$30.41			\$32.39
Delta (%)	0%	-3%	26%	20%	11%			0%
Consensus	\$6.15	\$7.15	\$7.94	\$8.13	\$28.89			\$34.12
New vs Street(%)	0%	-6%	13%	6%	5%			-5%

Source: Company reports, Bloomberg, Bernstein analysis and estimates

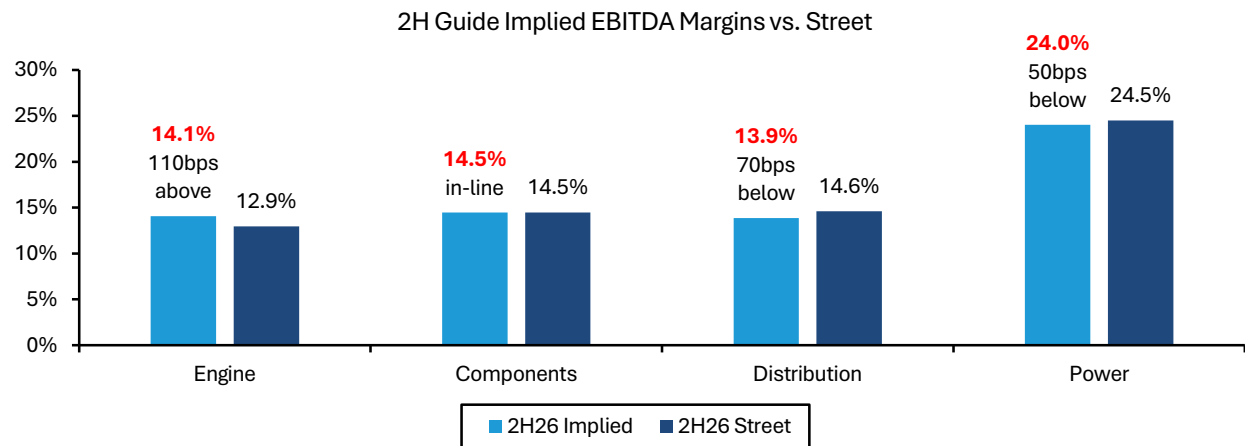
EXHIBIT 2: **Based on Updated Guidance, Mgmt's Implied 2H Revenue Expectations Are Below Street For Engine & Power, While Above For Components and In-Line For Distribution**

2H Guide Implied Revenue vs. Street



Source: Company reports, Bloomberg, Bernstein analysis and estimates

EXHIBIT 3: Similarly, 2H EBITDA Margins Are Guided Above Street For Engine, While Below For Distribution & Power, and In-Line For Components



Source: Company reports, Bloomberg, Bernstein analysis and estimates

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 4: CMI Income Statement

Year End: December 31 (\$ millions)	2024 Mar-24	2024 Jun-24	2024 Sep-24	2024 Dec-24	2025 Mar-25	2025 Jun-25	2025 Sep-25	2025 Dec-25	2026 Mar-26	2026 Jun-26	2026 Sep-26	2026 Dec-26	2027 Mar-27	2027 Jun-27	2027 Sep-27	2027 Dec-27	Dec-23	Dec-24	Dec-25	Dec-26	Dec-27
INCOME STATEMENT	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2023	2024	2025	2026	2027
Net Sales	8,403	8,796	8,456	8,447	8,174	8,634	8,317	8,536	8,398	9,457	9,657	10,089	9,115	10,218	10,408	10,862	34,065	34,102	33,661	37,601	40,603
% Y/Y	-0.6%	1.8%	0.3%	-1.1%	-2.7%	-1.8%	-1.6%	1.1%	2.7%	9.5%	16.1%	18.2%	8.5%	8.0%	7.8%	7.7%	21.3%	0.1%	-1.3%	11.7%	8.0%
% Q/Q	-1.6%	4.7%	-3.9%	-0.1%	-3.2%	5.6%	-3.7%	2.6%	-1.6%	12.6%	2.1%	4.5%	-9.7%	12.1%	1.9%	4.4%					
Cost of Sales	6,362	6,603	6,285	6,413	6,019	6,362	6,188	6,585	6,155	6,992	6,806	7,313	6,624	7,415	7,404	7,851	25,816	25,663	25,154	27,267	29,295
% of net sales	75.7%	75.1%	74.3%	75.9%	73.6%	73.7%	74.4%	77.1%	73.3%	73.9%	70.5%	72.5%	72.7%	72.6%	71.1%	72.3%	75.8%	75.3%	74.7%	72.5%	72.1%
Gross Profit	2,041	2,193	2,171	2,034	2,155	2,281	2,129	1,951	2,243	2,465	2,851	2,775	2,491	2,803	3,003	3,011	8,249	8,439	8,516	10,334	11,308
% of net sales	24.3%	24.9%	25.7%	24.1%	26.4%	26.4%	25.6%	22.9%	26.7%	26.1%	29.5%	27.5%	27.3%	27.4%	28.9%	27.7%	24.2%	24.7%	25.3%	27.5%	27.9%
SG&A	839	828	807	801	771	779	789	786	845	893	869	832	820	920	937	978	3,333	3,275	3,125	3,439	3,654
% of net sales	10.0%	9.4%	9.5%	9.5%	9.4%	9.0%	9.5%	9.2%	10.1%	9.4%	9.0%	8.3%	9.0%	9.0%	9.0%	9.0%	9.8%	9.6%	9.3%	9.1%	9.0%
% Y/Y	11%	-5%	-3%	-9%	-8%	-6%	-2%	-2%	10%	15%	10%	6%	-3%	3%	8%	17%	24.0%	-1.7%	-4.6%	10.1%	6.2%
Research, development and engineering expenses	369	379	359	356	344	357	345	350	358	385	454	474	428	480	489	511	1,500	1,463	1,396	1,671	1,908
% of net sales	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.4%	4.3%	4.1%	4.4%	4.7%
% Y/Y	5%	-1%	-5%	-9%	-7%	-6%	-4%	-2%	4%	8%	32%	35%	20%	25%	8%	8%	17.4%	-2.5%	-4.6%	19.7%	14.2%
Equity, royalty and interest income from investees	123	103	99	70	131	118	104	116	148	154	130	130	150	150	150	150	483	395	469	562	600
Other operating expense/(income), net	33	44	54	215	37	37	247	118	239	62	62	62	62	62	62	62	2,138	346	439	425	248
Operating Income	923	1,045	1,050	732	1,134	1,226	852	813	949	1,279	1,596	1,537	1,330	1,492	1,665	1,611	1,761	3,750	4025	5361	6098
% Margin	11%	12%	12%	9%	14%	14%	10%	10%	11%	14%	17%	15%	15%	15%	16%	15%	5%	11%	12%	14%	15%
% Incremental Margin	206%	30%	400%	-2025%	-92%	-112%	142%	91%	-83%	6%	56%	47%	53%	28%	9%	10%	-19%	5376%	-62%	34%	25%
Foreign Exch (Gain) Loss	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
(Income) Loss from Affiliates	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other Non-Op (Income) Loss	-1,387	-41	-76	-19	-60	-86	-61	-60	-61	-94	-94	-94	-94	-94	-94	-94	-240	-1,523	-267	-343	-376
EBIT	2,310	1,086	1,126	751	1,194	1,312	913	873	1,010	1,373	1,690	1,631	1,424	1,586	1,759	1,705	2,001	5,273	4,292	5,704	6,474
% of net sales	27%	12%	13%	9%	15%	15%	11%	10%	12%	15%	17.5%	16.2%	15.6%	15.5%	16.9%	15.7%	5.9%	15.5%	12.8%	15.2%	15.9%
Interest Expense	89	109	83	89	77	87	83	82	76	80	80	80	80	80	80	80	375	370	329	316	319
Interest Income	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Pre-Tax Profit	2,221	977	1,043	662	1,117	1,225	830	791	934	1,293	1,610	1,551	1,344	1,506	1,679	1,625	1,626	4,903	3,963	5,388	6,154
Taxes	193	225	200	217	267	297	271	171	254	325	338	326	336	376	420	406	786	835	1,006	1,243	1,539
% Rate	9%	23%	19%	33%	24%	24%	33%	22%	27%	25%	21%	21%	25%	25%	25%	25%	48%	17%	25%	23%	25%
Post Tax Income	2,028	752	843	445	850	928	559	620	680	968	1,272	1,225	1,008	1,129	1,260	1,219	840	4,068	2,957	4,145	4,616
Earnings From Continuing Ops (Net Income)	2,028	752	843	445	850	928	559	620	680	968	1,272	1,225	1,008	1,129	1,260	1,219	840	4,068	2,957	4,145	4,616
Net income attributable to noncontrolling interests (Minority inte	35	26	34	27	26	38	23	27	26	36	35	35	35	35	35	35	105	122	114	132	140
GAAP Net Income (Net income attributable to CMI Corporation an	1,993	726	809	418	824	890	536	593	853	932	1,237	1,190	973	1,094	1,225	1,184	735	3,946	2,843	4,212	4,476
GAAP EPS	14.03	5.26	5.86	3.02	5.96	6.43	3.86	4.27	6.15	6.73	8.94	8.60	7.04	7.92	8.86	8.57	5.18	28.17	20.51	30.41	32.39
EBITDA BRIDGE																					
Net Income	2,028	752	843	445	850	928	559	620	680	968	1,272	1,225	1,008	1,129	1,260	1,219	840	4,068	2,957	4,145	4,616
Taxes	193	225	200	217	267	297	271	171	254	325	338	326	336	376	420	406	786	835	1,006	1,243	1,539
Interest Expense	89	109	83	89	77	87	83	82	76	80	80	80	80	80	80	80	375	370	329	316	319
D&A	265	259	266	269	269	279	277	280	282	281	291	298	298	299	302	309	1,018	1,059	1,105	1,152	1,208
EBITDA	2,572	1,345	1,389	1,020	1,460	1,587	1,187	1,369	1,290	1,653	1,981	1,929	1,721	1,884	2,061	2,014	3,017	6,326	5,603	6,853	7,681
% of net sales	30.6%	15.3%	16.4%	12.1%	17.9%	18.4%	14.3%	16.0%	15.4%	17.5%	20.5%	19.1%	18.9%	18.4%	19.8%	18.5%	8.9%	18.6%	16.6%	18.2%	18.9%
Shares Outstanding																					
Basic Shares	141.3	137.1	137.2	137.4	137.6	137.8	138.0	138.2	138.3	137.9	137.8	137.8	137.7	137.6	137.5	137.5	141.7	138.3	137.9	137.9	137.6
Dilution	0.8	0.8	0.9	1.0	0.7	0.7	0.7	0.7	0.5	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.9	0.9	0.7	0.6	0.6
Diluted Shares	142.1	137.9	138.1	138.4	138.3	138.5	138.8	139.0	138.8	138.5	138.4	138.4	138.3	138.2	138.1	138.1	142.7	139.1	138.7	138.5	138.2
Earnings Per Share																					
Basic GAAP EPS	14.10	5.30	5.90	3.04	5.99	6.46	3.88	4.29	6.17	6.76	8.97	8.64	7.07	7.95	8.90	8.61	5.21	28.34	20.62	30.54	32.53
Diluted GAAP EPS	14.03	5.26	5.86	3.02	5.96	6.43	3.86	4.27	6.15	6.73	8.94	8.60	7.04	7.92	8.86	8.57	5.18	28.17	20.51	30.41	32.39

Source: Company reports, Bloomberg, Bernstein analysis and estimates

EXHIBIT 5: CMI Segment Summary

SEGMENT SUMMARY	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2023	2024	2025	2026	2027
Sales																					
Engine	2,240	2,468	2,215	2,064	2,040	2,162	1,922	1,980	1,966	2,349	2,305	2,474	2,128	2,545	2,494	2,687	8,874	8,987	8,104	9,094	9,853
Distribution	2,529	2,821	2,942	3,060	2,902	3,034	3,170	3,280	3,109	3,320	3,617	3,776	3,452	3,647	3,947	4,109	10,199	11,352	12,386	13,822	15,155
Components	2,842	2,518	2,287	2,247	2,270	2,295	1,986	2,092	2,138	2,431	2,383	2,563	2,202	2,504	2,455	2,640	11,531	9,894	8,643	9,515	9,800
Power Systems	708	888	912	992	872	1,045	1,126	1,062	1,093	1,217	1,285	1,214	1,222	1,363	1,439	1,359	3,125	3,500	4,105	4,809	5,382
Accelera	84	101	100	84	90	98	113	122	92	140	67	62	111	160	73	68	336	369	423	361	412
Total	8,319	8,695	8,356	8,363	8,084	8,536	8,204	8,414	8,306	9,317	9,590	10,026	9,004	10,059	10,334	10,794	33,729	33,733	33,238	37,240	40,191
% Y/Y - Sales																					
Engine	-0.5%	9.1%	-0.9%	-2.8%	-8.9%	-12.4%	-13.2%	-4.1%	-3.6%	8.6%	19.9%	25.0%	8.2%	8.3%	8.2%	8.6%	8.2%	1.3%	-9.8%	12.2%	8.3%
Distribution	5.4%	9.5%	16.8%	13.1%	14.7%	7.6%	7.7%	7.2%	7.1%	9.4%	14.1%	15.1%	11.0%	9.9%	9.1%	8.8%	14.6%	11.3%	9.1%	11.6%	9.6%
Components	-6.6%	-13.9%	-17.7%	-19.3%	-20.1%	-8.9%	-13.2%	-6.9%	-5.8%	5.9%	20.0%	22.5%	3.0%	3.0%	3.0%	3.0%	46.9%	-14.2%	-12.6%	10.1%	3.0%
Power Systems	4.3%	11.8%	14.3%	16.2%	23.2%	17.7%	23.5%	7.1%	25.3%	16.5%	14.2%	14.3%	11.8%	12.0%	11.9%	12.0%	5.9%	12.0%	17.3%	17.2%	11.9%
Accelera	5.0%	24.7%	2.0%	9.1%	7.1%	-3.0%	13.0%	45.2%	2.2%	42.9%	-41.1%	-49.0%	20.8%	13.9%	10.0%	10.0%	90.9%	9.8%	14.6%	-14.7%	14.3%
Total	-0.6%	1.6%	0.3%	-1.2%	-2.8%	-1.8%	-1.8%	0.6%	2.7%	9.1%	16.9%	19.2%	8.4%	8.0%	7.8%	7.7%	20.9%	0.0%	-1.5%	12.0%	7.9%
% Q/Q - Sales																					
Engine	5.5%	10.2%	-10.3%	-6.8%	-1.2%	6.0%	-11.1%	3.0%	-0.7%	19.5%	-1.9%	7.3%	-14.0%	19.6%	-2.0%	7.7%					
Distribution	-6.5%	11.5%	4.3%	4.0%	-5.2%	4.5%	4.5%	3.5%	-5.2%	6.8%	8.9%	4.4%	-8.6%	5.7%	8.2%	4.1%					
Components	2.1%	-11.4%	-9.2%	-1.7%	1.0%	1.1%	-13.5%	5.3%	2.2%	13.7%	-2.0%	7.5%	-14.1%	13.7%	-2.0%	7.5%					
Power Systems	-17.1%	25.4%	2.7%	8.8%	-12.1%	19.8%	7.8%	-5.7%	2.9%	11.3%	5.6%	-5.6%	0.7%	11.6%	5.6%	-5.6%					
Accelera	9.1%	20.2%	-1.0%	-16.0%	7.1%	8.9%	15.3%	8.0%	-24.6%	52.2%	-52.5%	-6.5%	78.5%	43.6%	-54.1%	-6.5%					
Total	-1.7%	4.5%	-3.9%	0.1%	-3.3%	5.6%	-3.9%	2.6%	-1.3%	12.2%	2.9%	4.5%	-10.2%	11.7%	2.7%	4.4%					
EBITDA																					
Engine	414	445	427	367	458	400	261	263	279	386	417	474	334	450	481	544	1,630	1,653	1,382	1,556	1,808
Distribution	294	314	370	400	376	445	492	495	444	451	514	520	506	510	574	580	1,209	1,378	1,808	1,929	2,170
Components	473	406	351	361	382	397	292	327	337	381	394	442	385	431	444	492	1,840	1,591	1,398	1,554	1,752
Power Systems	237	301	328	314	389	430	457	418	577	552	605	473	646	633	687	552	836	1,180	1,694	2,207	2,538
Accelera	-101	-117	-115	-431	-86	-100	-336	-374	-78	-69	-50	-80	-74	-65	-49	-79	-443	-764	-896	-277	-267
Total	1,317	1,349	1,361	1,011	1,519	1,572	1,166	1,129	1,559	1,701	1,881	1,829	1,796	1,959	2,136	2,089	5,072	5,038	5,386	6,970	7,981
EBITDA Margins																					
Engine	18.5%	18.0%	19.3%	17.8%	22.5%	18.5%	13.6%	13.3%	14.2%	16.4%	18.1%	19.2%	15.7%	17.7%	19.3%	20.2%	18.4%	18.4%	17.1%	17.1%	18.4%
Distribution	11.6%	11.1%	12.6%	13.1%	13.0%	14.7%	15.5%	15.1%	14.3%	13.6%	14.2%	13.8%	14.7%	14.0%	14.5%	14.1%	11.9%	12.1%	14.6%	14.0%	14.3%
Components	16.6%	16.1%	15.3%	16.1%	16.8%	17.3%	14.7%	15.6%	15.8%	15.7%	16.5%	17.2%	17.5%	17.2%	18.1%	18.7%	16.0%	16.1%	16.2%	16.3%	17.9%
Power Systems	33.5%	33.9%	36.0%	31.7%	44.6%	41.1%	40.6%	39.4%	52.8%	45.4%	47.1%	39.0%	52.9%	46.5%	47.7%	40.6%	26.8%	33.7%	41.3%	45.9%	46.8%
Accelera	-120.2%	-115.8%	-115.0%	-513.1%	-95.6%	-102.0%	-297.3%	-306.6%	-84.8%	-49.3%	-75.1%	-128.6%	-66.8%	-40.8%	-66.5%	-115.1%	-131.8%	-207.0%	-211.8%	-76.8%	-64.7%
Total	15.8%	15.5%	16.3%	12.1%	18.8%	18.4%	14.2%	13.4%	18.8%	18.3%	19.6%	18.2%	20.0%	19.5%	20.7%	19.4%	15.0%	14.9%	16.2%	18.7%	19.9%
Incremental Margins																					
Engine	358%	10%	-152%	-24%	242%	15%	57%	124%	242%	-7%	41%	43%	34%	33%	34%	33%	13%	20%	31%	18%	33%
Distribution	-32%	6%	15%	37%	22%	62%	54%	43%	33%	2%	5%	5%	18%	18%	18%	18%	25%	15%	42%	8%	18%
Components	17%	20%	18%	8%	16%	4%	20%	22%	34%	-12%	26%	24%	74%	68%	69%	66%	13%	15%	15%	18%	69%
Power Systems	62%	106%	82%	96%	93%	82%	60%	149%	85%	71%	93%	36%	54%	56%	53%	54%	138%	92%	85%	73%	54%
Accelera	-175%	-15%	-50%	-4429%	250%	-567%	-1700%	150%	400%	74%	-616%	-492%	20%	20%	20%	20%	-64%	-973%	-244%	-995%	20%
Total	198%	38%	430%	76%	-86%	-140%	128%	231%	18%	17%	52%	43%	34%	35%	34%	34%	18%	-850%	-70%	40%	34%

Source: Company reports, Bloomberg, Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	4 Aug 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
CMI (Cummins)	M	USD	635.96	700.00	53.7%	USD	20.51	30.41	32.39	31.0	20.9	19.6
OLD								27.35	32.25			
SPX			7,736.52									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Cummins Inc**

Our \$700 price target is based on a 22x P/E multiple to our 2027 EPS, which we believe is appropriate given (1) our SoTP framework that is separately values its structural Power Systems business and cyclical RemainCo business, (2) where we are in the current cycle, (3) relative valuation vs. the S&P 500 index, and (4) the company's respective market/portfolio positioning.

RISKS**Cummins Inc**

Upside/Downside risks include the following: 1) a better/worse than expected cyclical recovery; 2) higher/lower market share gains/losses; 3) higher/lower component intensity; 4) better/worse cost structure management; 5) more/less aggressive deployment of balance sheet.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
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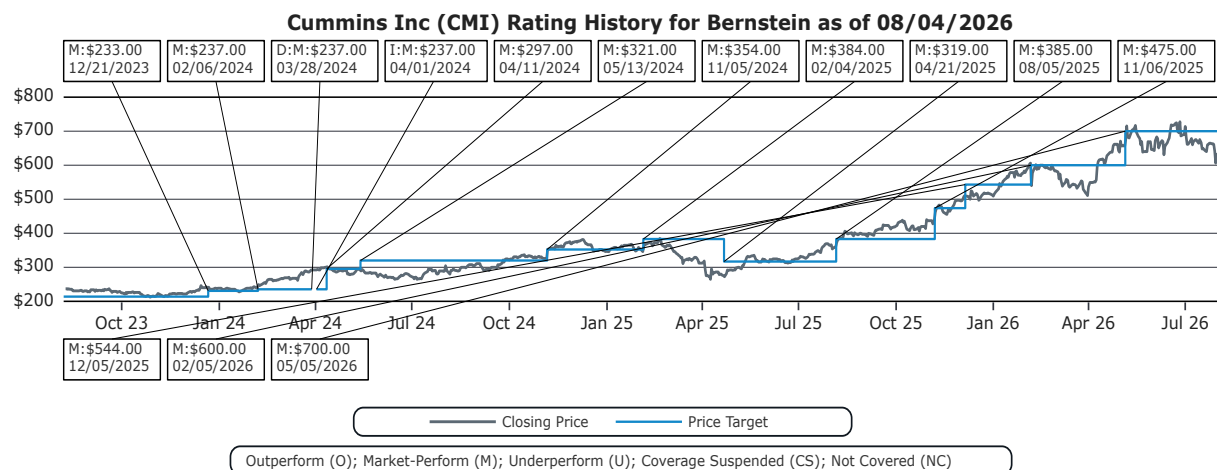
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Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
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